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THE NECESSITY REPORT™

Forensic Triage Advisory Report

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SAMPLE REPORT. The business, the people and every figure in this report are fictional, created to show the format of The Necessity Report™. It is not a report on any real entity.

Subject matter: Larkspur Joinery Pty Ltd as trustee for the Kerrin Family Trust (fictional)

Prepared by: David Bay, It's In The Numbers

Prepared for: Both parties and their mediator (fictional)

Date: 8 November 2026

Classification: Confidential - not for court filing

1. The answer

A formal valuation is warranted.

The trust's joinery business earns more than a wage for the person who runs it, and the records show features that a quick valuation built on the financial statements alone is unlikely to deal with. In my opinion, the parties are better served by commissioning a formal valuation than by agreeing a figure on the material currently available.

This report addresses whether the material reviewed justifies a formal valuation. It is not an exhaustive review of every issue, and it is not a valuation or a forensic opinion; it gives no value for the business.

2. What tips the balance

(a) **Profit above the owner's wage.** After paying Mr Kerrin a wage of $78,000 a year, the trust recorded net profit of $96,000 in FY2024, $88,000 in FY2025 and $214,000 in FY2026, an average of about $133,000 a year. A business that earns above a fair wage for its operator may carry value of its own, so it cannot safely be treated as a job and a set of tools.

(b) **A profit swing the accounts do not explain.** FY2026 profit was more than double FY2025, while revenue rose only 6.3%, from $1,262,000 to $1,341,000. The FY2026 statements are still in draft and do not explain the change. Which year reflects the business's ongoing earnings is likely to be the main question in any valuation, and the answer could move the value considerably.

(c) **A loan account that has changed direction.** Mr Kerrin's beneficiary loan account moved from $41,500 owed to him by the trust at 30 June 2024 to $118,200 owed by him to the trust at 30 June 2026, a movement of $159,700. How that balance is treated affects the net value of what the parties are dividing.

(d) **Premises leased from a related fund.** The workshop is leased from the Kerrin Superannuation Fund at $36,000 a year, unchanged since 2019. If that rent is below what an unrelated landlord would charge, the business's profits are overstated for valuation purposes.

3. Other matters noted

- Unpaid present entitlements to two beneficiaries appear in the FY2025 accounts.
- Motor vehicle expenses cover two vehicles, with no apportionment for private use.
- The FY2026 financial statements are draft and unsigned.
- No trustee distribution minutes were provided for FY2024 to FY2026.

4. What happens next

The next step is a formal valuation of the trust's business. I can scope and quote that work on request, or prepare a scoping note for another valuer if the parties prefer.

A valuation following this report does not need to be prepared by me. If the parties would like me to prepare it, I will disclose this report to both of them and act only if both agree.

To prepare for the valuation, the parties should gather:

- General ledgers for FY2024 to FY2026
- The full transaction history of Mr Kerrin's beneficiary loan account
- The workshop lease and any rent reviews
- Trustee distribution minutes for FY2024 to FY2026
- Signed FY2026 financial statements
- Vehicle logbooks or other records of private use

5. Scope and limits

This report forms part of a fixed-fee preliminary triage engagement. I relied on the documents listed in Appendix 1 as provided, without auditing or verifying them. The report is not a valuation, contains no value figure, is not intended for court filing and is not expert evidence. It is not legal, tax or financial advice, and further work requires a separate written engagement.

David Bay
Director, It's in the Numbers
8 November 2026

Appendix 1: Documents reviewed

- Financial statements for the Kerrin Family Trust, FY2024 and FY2025 (signed) and FY2026 (draft)
- Trust tax returns, FY2024 and FY2025
- Trust deed of the Kerrin Family Trust, dated 2014
- Business activity statements, July 2025 to June 2026
- Summary of Mr Kerrin's beneficiary loan account at each 30 June, FY2024 to FY2026
- Completed intake questionnaire